

mean having to forgo a chunk of what he felt were his rightfully earned profits. He expressed his displeasure to the president, who in turn felt that matters of the exchange should be settled amicably among the members.

‘Shroff relented, as he did not want to hurt his long-standing relationship with the president, who was a highly respected figure of his time,’ GB said.

Our evening conversations would sometimes stretch to over an hour. GB also told us how it was the success of share issues by MNCs that got retail investors interested in the stock market.

‘Under the FERA Act of 1974, MNCs were forced to reduce their stake to 40-74 per cent by offering shares to Indian investors. The companies that could prove they had special technology were required to dilute only 26 per cent of their stake; export-oriented firms had to dilute 49 per cent of their stake; and the rest, 60 per cent. Conservation of scarce foreign exchange and getting foreign companies to invest more in India were the main reasons for the Indira Gandhi government to initiate that proposal.

‘By the time of its implementation, the Janata Party had come to power. The companies that agreed to dilute their stake and get listed on the stock exchange could continue with their business in India while the rest had to pack up and leave the country. IBM and Coca-Cola were among those that chose to withdraw from India. The industries minister George Fernandes has been credited with having thrown both the companies out of India. But the truth is far simpler – the companies left of their own accord.

‘Being forced to dilute their holding was bad enough. Worse still, MNCs were not given the freedom to fix the price at which they could sell their shares to the Indian public. That was decided by the Controller of Capital Issues, based on a formula linked to their book value and earnings track record.

‘This led to the companies having to offer shares at prices far below what they were actually worth. The CCI rule, though a blessing for Indian shareholders, was hard on the companies, as share valuation is based on perception about future earnings and not the past performance of companies. In fact, nearly every share issue was offered to financial institutions and retail investors for a song. The MNCs’ loss was the gain of financial institutions and retail investors. I would go so far as to say that the share offerings helped strengthen institutions like UTI and LIC as they got the lion’s share of the issues. This helped them build a first-class portfolio